

Justification and Approval (J&A) for Other than Full and Open Competition
Federal Acquisition Regulation (FAR) Part 6

1. Identification of the Agency and Contracting Activity: Defense Health Agency (DHA), Program Management Office (PMO) - Enterprise Medical Services/Healthcare Portfolio/Medical Support Services. DHA Contracting Activity/Enterprise Medical Services Contracting Division (EMS-CD).

2. Nature and/or Description of Action being Approved: Modification to an existing contract. This Class J&A requests approval to modify the existing Medical "Q"-Coded Services (MQS) Indefinite Delivery-Indefinite Quantity (IDIQ) contracts identified below to extend the ordering period for a seven (7) month period starting 01 April 2025 through 31 October 2025 pursuant to Defense Federal Acquisition Regulation Supplement (DFARS) 217.204(e)(i)(B). The ordering period for the existing MQS contracts will expire on 31 March 2025. A seven (7) month extension of the ordering period on the existing MQS contracts is needed to allow for continued placement of orders until the award and implementation of the Medical "Q" Coded Support and Services - Next Generation (MQS2-NG) program. The DHA is currently in the solicitation phase for the MQS2-NG acquisition, which has combined the current MSS and MQS programs under a single strategic sourcing program. Due to unforeseen delays, the MQS2-NG Small Business (SB) set-aside acquisition will not be awarded prior to the expiration of the current ordering period. A seven-month extension of the ordering period on the existing contracts, is needed to allow for continued placement of orders until the award and implementation of the MQS2-NG SB contracts. The seven-month extension will not cause the Task Orders to go beyond the 10 years, reason being all Task Order performance shall end on or before 30 Nov 2027.

3. Description of Supplies/Services and Estimated Value:

The Military Health System (MHS) requires continued non-personal medical support services to supplement medical staff at Department of Defense (DoD) Military Treatment Facilities (MTFs) within the 50 United States of America, District of Columbia, Guam and Puerto Rico with credentialed (privileged and non-privileged) and non-credentialed health care workers in the following market segments: physician services, dental services, ancillary services, and nursing services.

Controlled by: <i>Defense Health Agency (DHA)</i> Controlled by: (EMS-CD) <i>Enterprise Medical Services – Contracting Division</i> CUI Category(ies): Source Selection Limited Dissemination Control: FEDCON POC: [REDACTED]

Contract No.	Contractor
HT005018D0001	AMG Healthcare Services, Inc
HT005018D0002	Locum, Inc. DBA MEDSTAFF National Medical Staffing
HT005018D0003	American Hospital Services Group, LLC
HT005018D0004	Global Consulting International, Inc
HT005018D0005	Global Dynamics, LLC
HT005018D0006	Quality Staffing Solutions, Inc
HT005018D0008	Catalyst Professional Services, Inc
HT005018D0009	Dependable Health Services, Inc
HT005018D0010	Frontline National, LLC
HT005018D0012	Saratoga Medical Center, Inc
HT005018D0013	The Royster Group, Inc
HT005018D0014	Dilligas Corp DBA U.S. Got People
HT005018D0015	Vighter Medical Group, LLC
HT005018D0016	Angel Staffing, Inc
HT005018D0017	Concentric Methods, LLC
HT005018D0018	Decypher Technologies, Ltd
HT005018D0019	Enterprise Resource Planning International, LLC
HT005018D0020	Federal Staffing Resources, LLC
HT005018D0021	OMV Medical, Inc
HT005018D0022	Platinum Business Corporation
HT005018D0023	Potomac Healthcare Solutions, LLC
HT005018D0024	Quarterline Consulting Services, LLC
HT005018D0025	ReadiForce Government Solutions, LLC
HT005018D0026	Spectrum Services Group, Inc
HT005018D0027	Akahi InGenesis Partners, LLC
HT005018D0028	CentralCare, Inc
HT005018D0029	Distinctive Health Spectrum Care JV, LLC
HT005018D0030	Donald L. Mooney Enterprises, LLC DBA Nurses Etc. Staffing
HT005018D0031	GiaMed Alliance JV, LLC
HT005018D0032	Luke & Associates, Inc
HT005018D0033	Magnificus Corporation
HT005018D0034	Matrix Providers, Inc.
HT005018D0035	The Arora Group, Inc.

This is a no-cost modification to extend the ordering period on the existing base contract awards whereas the program ceiling of [REDACTED] will remain unchanged.

Period	Period of Performance or Required Delivery Date	Estimated Value	Type of Funding
Base Ordering Period	01 December 2017 to 31 March 2025		FAR 16.202 Firm Fixed Price
Extension	01 April 2025 to 31 October 2025		
Total			

4. Statutory Authority Permitting Other Than Full and Open Competition: In accordance with FAR 6.302-1(a)(2)(iii)(B), services may be deemed available only from the original source in the case of follow-on contracts for the continued provision of highly specialized services when it is likely that award to any other sources would result in unacceptable delays in fulfilling the agency's requirements.

5. Rationale Justifying Use of Authority Cited:

(a) The ordering period for the existing MQS contract will expire on 31 March 2025. The DHA is currently conducting source selections for the MQS2-NG SB acquisition, which has combined the current MQS and MSS programs under a single strategic sourcing program. The MQS2-NG acquisition consists of both Unrestricted and SB set-aside IDIQ pools. The MQS2-NG Unrestricted IDIQ has been awarded; however, due to unforeseen delays, the MQS2-NG SB acquisition will not be awarded prior to the expiration of the current ordering period. The Government is establishing ordering processes for the MQS2-NG Unrestricted pool, however, a seven (7) month extension of the ordering period on the existing MQS contracts, is needed to allow for continued placement of orders until the award and implementation of the MQS2-NG program, both Unrestricted and SB are fully functional. The establishment of a competitive short-term strategic sourcing platform for purchasing medical support services, prior to the expiration of the existing MQS ordering period is not likely and would be a duplication of the efforts currently in progress to establish the competitive long term strategic sourcing platform (MQS2-NG).

(b) At this time, the Government does not have sufficient time and available resources to facilitate the award of a short-term multiple award SB IDIQ platform and the long-term multiple award SB IDIQ platform (MQS2-NG) simultaneously without additional delays in the award of the MQS2-NG SB acquisition. There are approximately 5,200 full time equivalents required for MQS supplementing the MTFs. Failure to extend the ordering period on the existing MQS contracts will likely result in the loss of the DHA's single strategic sourcing platform for purchasing credentialed (privileged and non-privileged) and non-credentialed health care workers in the following market segments: physician services, dental services, ancillary services, nursing services and negatively impact the ongoing efforts to standardize the delivery and quality of medical Q-coded support services across the MHS.

In accordance with FAR 6.302-1(a)(2)(iii)(B), "services may be deemed available only from the original source in the case of follow-on contracts for the continued provision of highly specialized services when it is likely that award to any other sources would result in unacceptable delays in fulfilling

the agency's requirements". The services provided under the MQS single strategic sourcing platform are highly specialized medical services. An award to another source would result in unacceptable delays in providing quality medical care to DoD beneficiaries.

6. Efforts to Obtain Competition:

The EMS-CD is embarking on a competitive Services Category I (S-CAT I) rated Acquisition Program to replace DHA's MQS and MSS enterprise Multiple-Award IDIQ contracts. The next generation Acquisition Program, known as MQS2-NG, was developed to continue the standardization of MHS medical and dental contracts and improve the efficiencies of the DHA in a market-based and enterprise-wide buying approach. The extension of the current ordering period under the existing MQS platform provides for the continued provision of highly specialized services no efforts to obtain competition beyond the MQS2-NG acquisition strategy is reasonable for the short-term need. The notices required by FAR 5.202 will be posted. Additionally, a Waiver Request for DFARS Procedures, Guidance, and Information 206.302-1(d) for posting a Request for Information (RFI) or Sources Sought Notice for Contract Actions Utilizing FAR 6.302-1 is currently being developed for submission and approval by the Head of Contracting Activity for this extension request.

7. Actions to Increase Competition/Remove or Overcome any Barriers to Competition:

The MQS program is a decentralized strategic sourcing platform comprised of 34 multiple award IDIQ contracts and all orders must be placed under FAR 16.505(b)(1), whereas each Contractor under the MQS contract will be given a fair opportunity to be considered for each TO award, unless an exception as outlined in FAR 16.505(b)(2) applies. Both MQS2-NG programs were competitively conducted under source selection procedures in accordance with FAR Part 12 and FAR Part 15 and shall follow the same guidance under FAR 16.505(b)(2) to continue to promote fair opportunity and competition.

8. Market Research:

The MQS2-NG Integrated Product Team conducted market research between 28 September 2020 and 29 October 2022 via RFIs, structured interviews, and reviews of industry reports; procurement reports; and Government strategic contracts. The collection and analysis of this data provided the team with a greater understanding of the availability of medical services within the commercial market and vendor capabilities. The Government's findings supported the DHA's proposed strategy to design a contract vehicle to replace two current strategic contract vehicles for professional medical services under the MQS and under the MSS contracts. Based on the findings of market research the DHA is facilitating a new S-CAT I rated Acquisition Program to replace DHA's MQS and MSS enterprise Multiple-Award IDIQ contracts. The new MQS2-NG was developed to continue the standardization of MHS medical and dental contracts and improve the efficiencies of the DHA in a market-based and enterprise-wide buying approach. However, due to unforeseen delays, the MQS2-NG SB set-aside acquisition will not be awarded and implemented prior to the expiration of the current ordering period. A seven-month extension of the ordering period on the existing contracts, is needed to allow for continued placement of orders until the award and implementation of the MQS2-NG SB contracts.

9. Other Facts:

a. Procurement History:

(1) Is this a new requirement? No

(2) If 9.a.(1) is No, was the action just prior to this one competed?

No. The MQS IDIQ was originally awarded and executed in 2018. Since then, the original award has been modified four (4) times to extend the ordering period to allow time for the award of MQS2-NG.

(3) If 9.a.(2) is Yes, what has changed where this action cannot be competed?

Not Applicable

- b. Additional Information: The EMS-CD Team has been actively engaged in the MQS2-NG acquisition since FY 2020. Despite the many challenges and delays encountered during the solicitation process, (i.e. the COVID 19 Pandemic, pre-award protests, and multiple changes within the Source Selection Evaluation Board Members), EMS-CD has made significant progress with the award of the MQS2-NG Unrestricted IDIQ while currently conducting source selections for the MQS2-NG SB solicitation.

Pursuant to DFARS 217.204(e)(i), notwithstanding FAR 17.204(e), the ordering period of a task order or delivery order contract (including a contract for information technology) awarded by DoD pursuant to 10 U.S.C. 2304a— (A) May be for any period up to 5 years; (B) May be subsequently extended for one or more successive periods in accordance with an option provided in the contract or a modification of the contract; and (C) Shall not exceed 10 years unless the head of the agency determines in writing that exceptional circumstances require a longer ordering period. The MQS contracts meet the 10 U.S.C. 2304a definition of task order or delivery order contract, however the contracts do not provide for the option to extend services beyond the established ordering period. Therefore, the Government intends to extend the ordering period via a contract modification.

10. Interested Sources: The Government has received expressed interest from industry partners in response to the MQS2-NG effort. Although the Unrestricted contracts have been awarded, evaluation of the SB contracts is on-going.

11. Technical Certification:

I certify the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge and belief.

[REDACTED]

[REDACTED]

Assistant Program Manager, PMO Enterprise Medical Services
Deputy Assistant Director Acquisition & Sustainment
Defense Health Agency (DHA)

12. Requirements Certification:

I certify the supporting data under my cognizance, which are included in the justification, are accurate and complete to the best of my knowledge and belief.

[REDACTED]

[REDACTED]

Senior Assistant Program Manager
Program Management Office – Enterprise Medical Services

13. Fair and Reasonable Cost Determination:

I hereby determine the anticipated cost to the Government for this contract action will be fair and reasonable

Basis for Determination: The program ceiling will remain the same to allow for the placement of orders during the extended seven-month period. The MQS program is a decentralized strategic sourcing platform comprised of unpriced multiple award IDIQ contracts. The price/cost of services provided under the MQS program are established at the time of order placement by a warranted contracting officer within the DoD through the issuance of competitive task order proposal request to the MQS contract holder(s). Prior to the award of any task order under the MQS program, the task order contracting officer must determine that the price offered is fair and reasonable and indicate whether or not certified cost or pricing data will be required or if one of the exceptions in FAR Part 15.403 will apply.



Contracting Officer
Enterprise Medical Services Contracting Division

14. Legal Review:

I have reviewed this justification and have found it to be legally sufficient.



Defense Health Agency/OGC
Enterprise Medical Services Contracting Division

15. Contracting Officer Certification:

I certify this justification is accurate and complete to the best of my knowledge and belief.

[REDACTED]
[REDACTED]
[REDACTED]

Contracting Officer

Enterprise Medical Services Contracting Division

Review

I have reviewed this justification and find it adequate to support other than full and open competition.

Concurrence

[REDACTED]

[REDACTED]

Chief of the Contracting Office

Enterprise Medical Services-Contracting Division (EMS-CD)

[REDACTED]

[REDACTED]

Competition Advocate

USAMRAA

[REDACTED]

In Place of the Senior Contracting Official
Defense Health Agency

[REDACTED]

Head of the Contracting Activity
Defense Health Agency

Approval

Based on the foregoing justification, I hereby approve the procurement of Medical “Q” Coded Services (MQS) Ordering Period Extension on an other than full and open competition basis pursuant to the authority of 10 U.S.C. 2304(c)(1) 6.302-1 – Only One Responsible Source and No Other Supplies or Services Will Satisfy Agency Requirements, subject to availability of funds, and provided that the supplies and/or services herein described have otherwise been authorized for acquisition.

[REDACTED]

Senior Procurement Executive
Defense Health Agency